

THE MARKET CHRONICLE

~BY CATALYST

NEWS

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Trusted for Transformations: Catalyst Trusteeship at the Core of Iconic Deals!

India's Largest ABS Securitisation Deal Concluded by HDFC Bank:

HDFC Bank Limited has successfully concluded India's largest Asset-Backed Securitization (ABS) deal, securitizing a pool of new car loans worth ₹12,372 crore. The landmark transaction, finalized on 27th November 2024, is backed by a provisional AAA rating and structured as a Listed Pass-Through Certificate (PTC) transaction. Catalyst Trusteeship Limited acted as the trustee for this record-breaking deal, showcasing the strength and innovation within India's financial markets. This monumental transaction not only sets a new benchmark for the securitization market but also reinforces investor confidence in high-quality retail loan-backed securities.

Mankind Pharma Limited – Landmark Acquisition:

Mankind Pharma Limited completed a significant Rs. 13,768 Crore acquisition of Bharat Serums and Vaccines Limited, funded through internal resources and a debt issuance of Rs. 5000 Crores. The debt was raised via Listed, Secured, Non-Convertible Debentures (NCDs) in three series, with Catalyst Trusteeship Limited proudly acting as the Debenture Trustee for this transaction. This landmark deal was executed in September.

Kerala Infrastructure Investment Fund Board – Infrastructure Funding Success:

Kerala Infrastructure Investment Fund Board successfully raised Rs. 1002 Crores through Listed, Secured Non-Convertible Debentures (NCDs). Catalyst Trusteeship Limited served as the Debenture Trustee for this strategic infrastructure funding, with the transaction completed in October.

Catalyst Trusteeship Limited continues to strengthen its position as a trusted partner in high-value and strategic financial transactions.

Paving the Way for Your Business Success:

Corporate Support Redefined: Catalyst CSP at Your Service:

With the industry booming and new companies emerging, the need for expert support in setting up and managing businesses has never been greater. Catalyst Corporate Services Provider (CSP) is here to provide comprehensive compliance and administrative solutions, ensuring your firm gets the right start and stays on the path to success.

We specialize in supporting Alternative Investment Funds (AIFs), offering services like the incorporation and registration of Fund Manager Entities (FMEs) with IFSCA and SEZs. Beyond AIFs, Catalyst CSP extends its services to company and LLP incorporation, statutory and employee-related registrations, fund and FinTech solutions, and compliance. We also facilitate the setup of qualifying entities in GIFT City, offering services like directorship, registered office facilities, and other administrative support.

At Catalyst CSP, we simplify complex processes, reduce costs, and enhance efficiency, allowing you to focus on growing your business. Let us manage the compliance and administrative challenges while you concentrate on what matters most—your success.

CIRCULARS AND AMENDMENTS ISSUED BY THE MARKET REGULATOR :

Relaxation from certain provisions for units allotted to an employee benefit trust for the purpose of a unit based employee benefit scheme, Alignment of timelines for making distribution by InvITs and Format of Quarterly Report and Compliance Certificate – Infrastructure Investment Trusts (InvITs)

The Market Regulator, Securities and Exchange Board of India (SEBI) has released a circular for Relaxation from certain provisions for units allotted to an employee benefit trust for the purpose of a unit based employee benefit scheme, Alignment of timelines for making distribution by InvITs and Format of Quarterly Report and Compliance Certificate – Infrastructure Investment Trusts (InvITs), dated 13th November, 2024. This circular introduces key regulatory updates for Infrastructure Investment Trusts (InvITs), with a focus on employee benefit schemes, standardized compliance reporting, and distribution timeline alignment.

Firstly, SEBI has relaxed the lock-in and allotment restrictions for units issued to an employee benefit trust under a Unit-Based Employee Benefit (UBEB) scheme, easing the distribution of units to employees as incentives. This amendment allows InvITs greater flexibility in implementing employee reward programs and aims to promote ease of doing business in the sector.

In addition, SEBI has introduced a standardized format for the quarterly reports and compliance certificates that InvITs must submit. Developed by the Bharat InvITs Association (BIA) in consultation with SEBI, this format is intended to ensure consistent compliance reporting across the industry, covering fund receipts, payments, project statuses, and regulatory compliance. Lastly, the SEBI circular aligns timelines for InvIT distributions with recent amendments to InvIT Regulations, effective from November 27, 2024. This includes the protocol for managing unclaimed amounts, where any unclaimed or unpaid distribution will be transferred to an "Unpaid Distribution Account" within seven days.

Link: https://www.sebi.gov.in/legal/circulars/nov-2024/relaxation-from-certain-provisions-for-units-allotted-to-an-employee-benefit-trust-for-the-purpose-of-a-unit-based-employee-benefit-scheme-alignment-of-timelines-for-making-distribution-by-invits-and-_88472.html

Relaxation from certain provisions for units allotted to an employee benefit trust for the purpose of a unit based employee benefit scheme, Alignment of timelines for making distribution by REITs and Format of Quarterly Report and Compliance Certificate - Real Estate Investment Trusts (REITs)

The Market Regulator, Securities and Exchange Board of India (SEBI) has released a circular for Relaxation from certain provisions for units allotted to an employee benefit trust for the purpose of a unit based employee benefit scheme, Alignment of timelines for making distribution by REITs and Format of Quarterly Report and Compliance Certificate - Real Estate Investment Trusts (REITs), dated 13th November, 2024.

SEBI's latest circular introduces a series of amendments focusing on three main areas: facilitating employee benefit schemes, establishing uniform reporting standards, and updating distribution timelines.

By relaxing lock-in and allotment restrictions for employee benefit schemes, introducing uniform reporting standards, and securing unclaimed distributions, SEBI's circular aims to enhance both employee benefits and investor protections in the REIT sector. To ensure industry-wide uniformity in reporting, SEBI requires REITs to follow a standardized format for quarterly reports and compliance certificates, which will be specified by the Indian REITs Association (IRA) in consultation with SEBI. The amendments align REIT distribution timelines, effective November 27, 2024, to ensure prompt handling of investor payments. Managers must transfer unclaimed distributions to an "Unpaid Distribution Account" within seven working days, held in escrow to protect unitholder interests. Chapter 19 and Annexure 14 of the Master Circular are updated accordingly.

Link: https://www.sebi.gov.in/legal/circulars/nov-2024/relaxation-from-certain-provisions-for-units-allotted-to-an-employee-benefit-trust-for-the-purpose-of-a-unit-based-employee-benefit-scheme-alignment-of-timelines-for-making-distribution-by-reits-and-_88471.html

HIGHLIGHTS OF THE MONTH:

Security Trustee deals:

Sectors	No. of Transaction	Facility Amount (Cr.)
Infrastructure Sector	7	4366.15
Renewable Sector	30	14193.14
NBFC	11	5215
Others	9	4932.7
Real Estate	7	1418
Grand Total	64	30124.99

Securitization deals:

Asset Class	No. of Deals	Pool Size in Crores
AGRICULTURE	1	106.00
Business loan	1	37.00
Car Loans	1	12,371.00
Commercial Vehicle Loan	3	2,662.00
Housing Loan	2	63.49
Loan Against Property	6	811.58
Microfinance Loans	8	853.90
Personal Loan	2	115.18
Secured Business Loan	1	278.00
Trade Receivables	2	54.99
Two-wheeler Loans	1	331.00
Unsecured Business Loan	4	286.87
Grand Total	32	17,971.01

Debenture Trustee deals:

Sector	Count of Transactions	Facility Amount (Cr)
Housing Finance	1	150.00
Manufacturing	1	100.00
NBFC	19	2,268.00
Others	23	3,972.85
Real Estate	9	1,060.20
Grand Total	53	7,551.05

Other deals:

Sector/Asset Class/Category	No. of Deals/ Transactions/funds	Issue Size/Pool Size in Crores
AIF(Domestic)	07	2950
AIF (Gift City AIF)	-	-
ESOP/EBT/Private Trust	01	-
Grand Total	08	2950

Thanks and Regards,
Editorial team of Catalyst.

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